higher education & training

Department:
Higher Education and Training
REPUBLIC OF SOUTH AFRICA

NATIONAL CERTIFICATE (VOCATIONAL)

ECONOMIC ENVIRONMENT
NQF LEVEL 4

(3011024)

8 March 2019 (Y-Paper)
13:00–16:00

A nonprogrammable calculator may be used.

This question paper consists of 8 pages.

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TIME: 3 HOURS
MARKS: 200

INSTRUCTIONS AND INFORMATION

1. Answer ALL the questions.
2. Read ALL the questions carefully.
3. Number the answers according to the numbering system used in this question paper.
4. Write neatly and legibly.

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SECTION A

QUESTION 1

1.1 Various options are provided as possible answers to the following questions. Choose the answer and write only the letter (A–D) next to the question number (1.1.1–1.1.10) in the ANSWER BOOK.

1.1.1 Who is tasked with delivering the budget speech?

A Minister of trade and industry
B Deputy president
C Governor of the reserve bank
D Minister of finance

1.1.2 ONE of the functions of the South African Reserve Bank:

A Lending money to South African citizens
B Collecting taxes from citizens and companies
C Keeping gold and foreign reserves
D Borrowing money from overseas investors

1.1.3 Who is the current governor of the South African Reserve Bank?

A Tito Mboweni
B Malusi Gigaba
C Lesetja Kganyago
D Pravin Gordhan

1.1.4 What do economists use to measure economic growth?

A Per capita GDP
B Real GDP
C Nominal GDP
D GNI per capita

1.1.5 ONE of the goals of fiscal policy:

A Eradicate poverty
B Collect as much revenue as possible
C Provide statistic on poverty
D Protect the value of the rand

1.1.6 In international trade …

A both parties should be from overseas.
B both parties should be South Africans.
C one of the parties should be from a foreign country.
D only two parties are involved.

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1.1.7 ONE of the reasons to have export controls:

A Protects the environment
B Protects the economy of the country
C Protects exporters
D Encourages the growth of business in the country

1.1.8 Which ONE of the following is NOT part of the SIX documents submitted with the letter of credit for payment:

A Debit Note
B Air waybill
C Packing list
D Certificate of origin

1.1.9 A party to import and export factoring:

A Applicant
B Issuing bank
C Beneficiary
D Importer

1.1.10 In terms of the letter of credit, which ONE of the following is an applicant's responsibility:

A Paying the beneficiary
B Sending the letter of credit to the advising bank
C Collecting the imported goods from the freight forwarder
D Sending the letter of credit to the beneficiary

(10 × 1) (10)

1.2 Indicate whether the following statements are TRUE or FALSE. Choose the answer and write only 'True' or 'False' next to the question number (1.2.1–1.2.10) in the ANSWER BOOK.

1.2.1 Price elasticity of demand is the percentage change in the price over the percentage change in quantity.

1.2.2 Nominal GDP is the sum of quantities of final goods and services multiplied by their constant prices.

1.2.3 The consumer price index is used to measure inflation.

1.2.4 Capital inflows and outflows are recorded in the current account of the balance of payment.

1.2.5 High inflation can result in social and political unrest.

1.2.6 There is a positive relationship between income and consumption spending.

1.2.7 Primary health care and primary education are regarded as public services.

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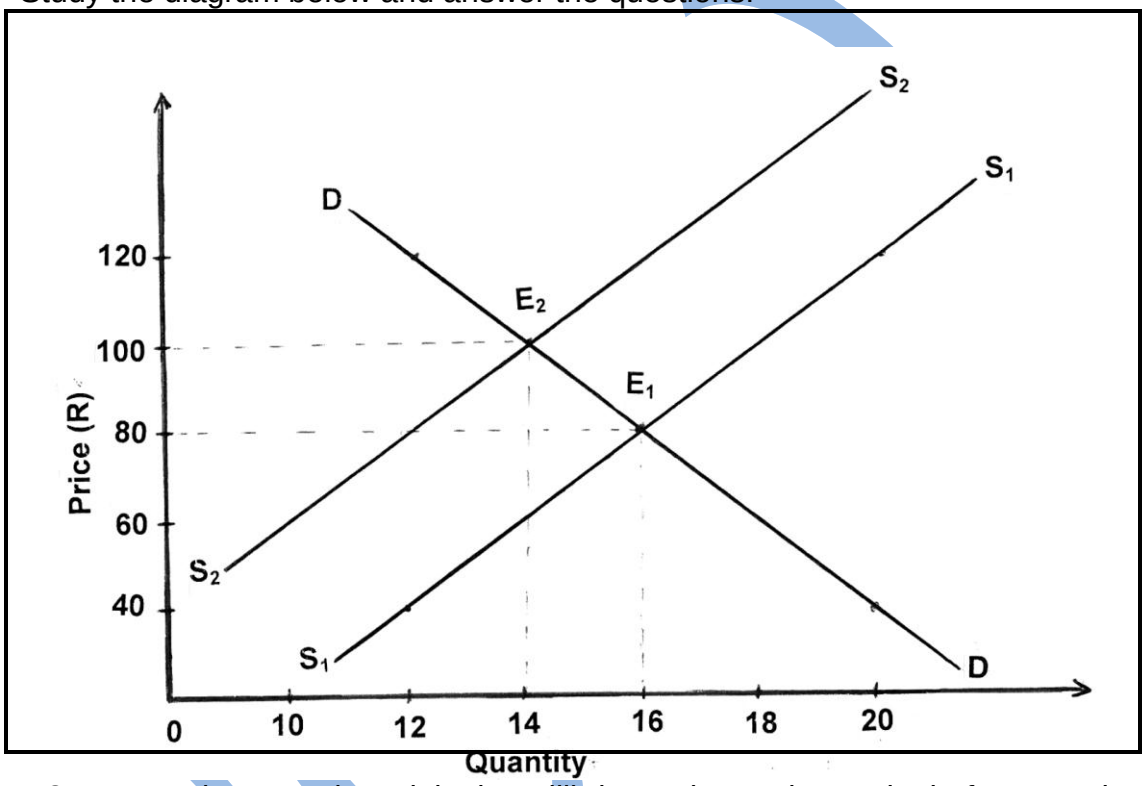
1.2.8 One of the opportunities presented by globalisation is to improve local economies.

1.2.9 A disaster-management plan is one of the components of the integrated development plan.

1.2.10 Private sector investment in the economy includes the provision of infrastructure such as roads, electricity, etc.

(10 × 1) (10)

1.3 Study the diagram below and answer the questions.



1.3.1 What was the original equilibrium price and quantity before supply decreased? (2)

1.3.2 What happened to the equilibrium price when supply decreased from S_1 to S_2? (2)

1.3.3 What happens to the quantity demanded when the price of the product increases from R80 to R100? (2)

1.3.4 Which TWO prices constitute a shortage at equilibrium point E_1?

(2 × 2) (4)

1.3.5 Which price constitutes a surplus in the market in terms of point E_2? (2)

1.4 What is the difference between a *decrease in supply* and a *decrease in the quantity supplied*? (2 + 2) (4)

1.5 Explain the law of demand in full. (4)

[40]

TOTAL SECTION A: 40

SECTION B

QUESTION 2

2.1 Write the acronym AsgiSA in full. (1)

2.2 The integrated development plan takes all legislations, central to local economic development, into account and puts it into practice.

2.2.1 Name TWO ways in which local economic development can produce competitively priced goods and services. (2)

2.2.2 Briefly describe FOUR purposes of local economic development. (4 × 3) (12)

2.2.3 What are the effects of having a good integrated development plan on local economic development? (5 × 2) (10)

2.3 What does NNI stand for? (1)

2.4 Differentiate between *public goods* and *private goods*. (2 + 2) (4)

2.5 Briefly explain FIVE factors that influence consumption spending. (5 × 2) (10)
[40]

QUESTION 3

3.1 Briefly explain each of the following concepts:

3.1.1 Market system

3.1.2 Command economic system

3.1.3 Entrepreneurship

3.1.4 Labour

(4 × 3) (12)

3.2 Give FOUR characteristics of a market system. (4 × 2) (8)

3.3 Name THREE components of the Human Development Index. (3 × 2) (6)

3.4 What does industrial and trade policy entail? (2)

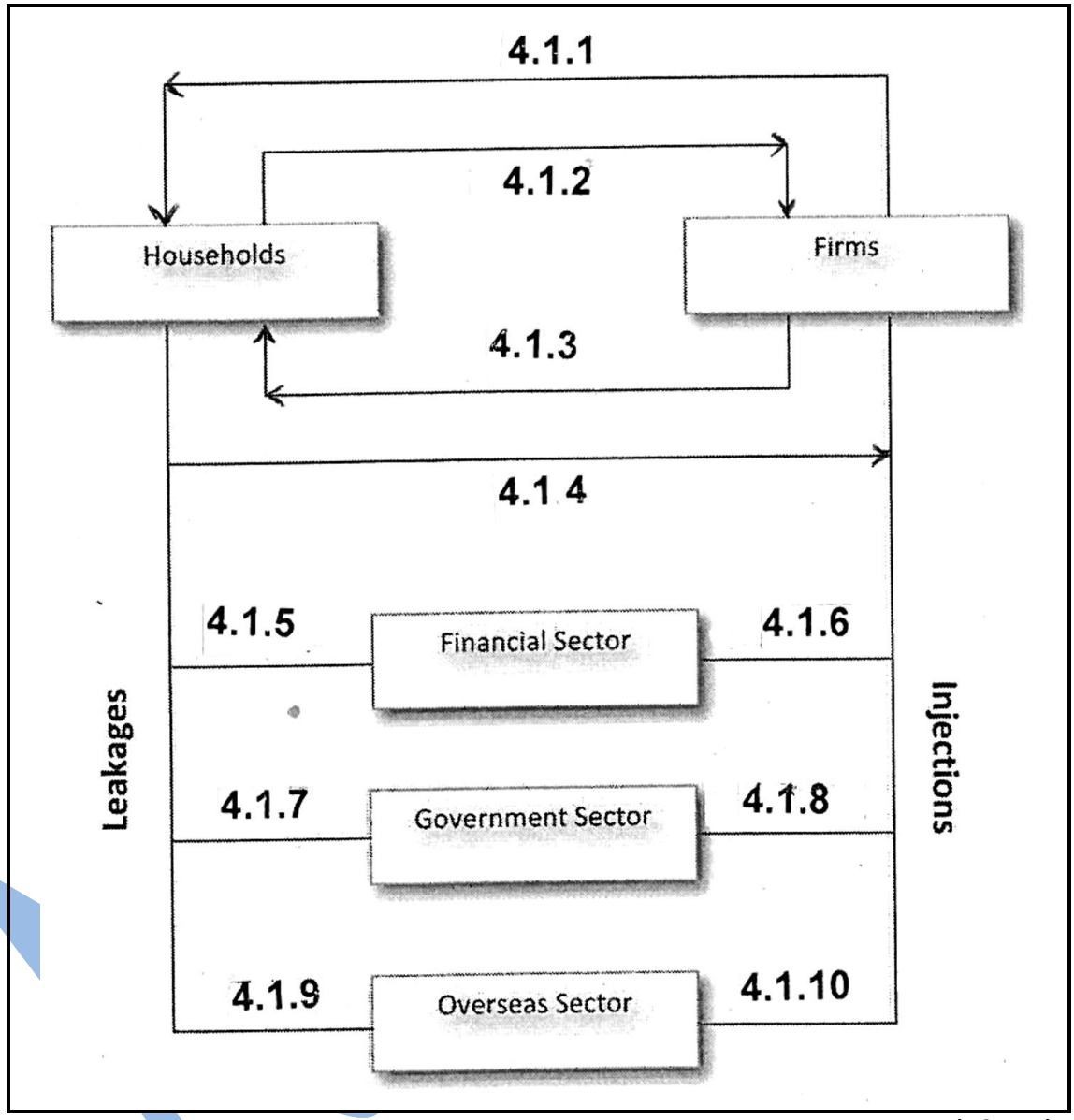
3.5 Differentiate between *positive externality* and *negative externality*. (2 + 2) (4)

3.6 Give FOUR goals of fiscal policy. (4 × 2) (8)
[40]

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QUESTION 4

4.1 Label the diagram of economic circular flow within the foreign sector by writing only the answer next to the question number (4.1.1–4.1.10) in the ANSWER BOOK.



(10 × 1) (10)

4.2 Give the term for each of the following descriptions:

4.2.1 Importing second-hand and scraped goods into South Africa and selling them for very cheap

4.2.2 A permit issued by the importing country's authorities subject to import-licensing restrictions

(2 × 1) (2)

4.3 Which financial instrument is fast but very expensive? (1)

4.4 Explain how an increase in interest rates affects consumption spending in the economy. (5)

4.5 Name FOUR types of insurance cover that can protect an exporter against the risks of international trade. (4)

4.6 Explain which measures the financier (bank) can implement if an importer fails to pay. (4 × 2) (8)

4.7 Briefly explain the forward exchange contract under the following headings:

4.7.1 Definition (4)

4.7.2 Purpose (3 × 2) (6)
[40]

QUESTION 5

5.1 Bidvest Bank undertakes a letter of credit to pay exporters for goods provided and specific documents and certain criteria are required. Only once these terms are completed and confirmed will transfer of funds take place.

5.1.1 Name FOUR parties involved in the letter of credit. (4)

5.1.2 What is the responsibility of each party involved in the letter of credit mentioned in QUESTION 5.1.1? (4 × 2) (8)

5.1.3 Name SIX documents specified in the letter of credit that have to be submitted for payment. (6)

5.2 List SIX risks associated with international trade. (6)

5.3 Suppose that the exchange rate is $1 = R13,53.

5.3.1 Calculate the new exchange rate if the rand depreciates by 5%.

5.3.2 Calculate the new exchange rate if the rand appreciates by 10%.
(2 × 5) (10)

5.4 Explain how the depreciation of the rand against the US dollar affects domestic importers from America. (6)
[40]

TOTAL SECTION B: 160
GRAND TOTAL: 200

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